

Zhuzhou CRRC Times Electric (H/A)

2Q26 miss; focus on improved power semis profitability in 2H26; Neutral

PO: 43.00 HKD | Price: 34.72 HKD

2Q26 earnings rise 3% YoY, below expectations

Times Electric announced its 2Q26 results and held a results briefing on 19 August. Revenue grew 4% YoY to RMB8.0bn, 5% below our estimate. GPM was 32.5%, up 1.4ppt YoY but down 0.8ppt QoQ, ahead of our 31.3% expectation. Operating income (clean EBIT) rose 7% YoY and 88% QoQ to RMB1.3bn. Net profit was RMB1.1bn, up 3% YoY but 14% below our RMB1.2bn expectation, mainly on higher R&D expenses and FX loss.

Emerging equip. under pressure; focus on recovery ahead

In 2Q26, rail equipment revenue grew 7.0% YoY, while emerging equipment revenue declined 0.5% YoY. Revenue from basic devices, mainly power semis and sensors, grew 26% YoY to RMB1.6bn, vs. a 4% YoY decline in 1Q26. Revenue from new-energy vehicle (NEV) drive systems rose 27% YoY to RMB779mn on solid shipments in the commercial vehicle market. Renewable energy revenue fell 72% YoY to RMB223mn, reflecting a high base in 2Q25 from rush installation of wind and solar projects in China. The Zhuzhou Phase III silicon carbide (SiC) production line is now in capacity ramp-up and is targeted to reach full capacity by mid-2027. In 1H26, CRRC Times Semiconductor's NPM fell YoY to 8%, from 17% in 2025, mainly due to lower gov't subsidies, higher depreciation, increased material costs, and ASP pressure. Times Electric announced a price hike for power semis in July, and management expects profitability to improve in 2H26.

Cut 2026/27/28E earnings; new PO of HKD43/RMB56

Factoring in the 2Q26 results, we cut our 2026/27/28 earnings estimates by 5%/4%/3%, mainly on higher opex assumptions. Our new PO for Times Electric-H is HKD43 (was HKD44), reflecting our revised earnings estimates (see details inside). Our new A-share PO is RMB56 (was RMB59). We reiterate Neutral, as we see near-term profitability pressure in its emerging equipment businesses, partly offset by long-term opportunities in the railway aftermarket and market-share gains in emerging equipment.

Estimates (Dec) (CNY)	2024A	2025A	2026E	2027E	2028E
Net Income (Adjusted - mn)	3,703	4,097	4,395	5,187	5,704
EPS	2.63	3.02	3.30	3.90	4.29
EPS Change (YoY)	20.0%	14.6%	9.5%	18.0%	10.0%
Consensus EPS (Visible Alpha)			3.25	3.66	4.02
Dividend / Share	1.00	1.12	1.23	1.45	1.59
Free Cash Flow / Share	(0.064)	(0.033)	4.89	1.71	6.26
Valuation (Dec)					
P/E	12.39x	10.33x	9.04x	7.66x	6.96x
Dividend Yield	3.07%	3.59%	4.11%	4.85%	5.33%
EV / EBITDA*	7.78x	6.02x	5.71x	5.02x	4.60x
Free Cash Flow Yield*	-0.212%	-0.107%	15.38%	5.38%	19.71%

* For full definitions of *IQmethod™* measures, see page 7.

20 August 2026

Equity

Key Changes

(CNY)	Previous	Current
Price Obj.	HK\$44.0	HK\$43.0
2026E EPS	3.40	3.30
2027E EPS	3.96	3.90
2028E EPS	4.33	4.29
2026E EBITDA (m)	6,638	6,463
2027E EBITDA (m)	7,578	7,357
2028E EBITDA (m)	8,213	8,029

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Stock Data

Rating (H Share)	NEUTRAL
Rating (A Share)	NEUTRAL
Price (H Shr / A Shr)	34.72 HKD / 49.11 CNY
Price Objective	43.00 HKD / 56.00 CNY
Date Established	20-Aug-2026 / 20-Aug-2026
Investment Opinion	B-2-7 / B-2-7
52-Week Range	31.96 HKD- 46.88 HKD
52-Week Range	44.22 CNY- 69.27 CNY
Mkt Val / Shares Out (mn)	6,269 USD / 1,416.2
Market Value (mn)	49,172 HKD
Average Daily Value (mn)	15.69 USD
Free Float	100.0%
BofA Ticker / Exchange	ZHUZF / HKG
BofA Ticker / Exchange	XWCTF / SHH
Bloomberg / Reuters	3898 HK / 3898.HK
Bloomberg / Reuters	688187 CH / 688187.SS
ROE (2026E)	10.0%
Net Dbt to Eqty (Dec-2025A)	-11.9%

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iQprofileSM Zhuzhou CRRC Times Electric (H/A)

Key Income Statement Data (Dec)

(CNY Millions)

	2024A	2025A	2026E	2027E	2028E
Sales	24,909	28,703	31,617	35,200	38,040
Gross Profit	8,091	9,596	10,527	11,647	12,542
Sell General & Admin Expense	(1,758)	(1,814)	(2,025)	(2,099)	(2,256)
Operating Profit	3,514	4,575	4,947	5,748	6,326
Net Interest & Other Income	802	298	184	373	389
Associates	NA	NA	NA	NA	NA
Pretax Income	4,317	4,874	5,131	6,122	6,715
Tax (expense) / Benefit	(368)	(565)	(621)	(795)	(872)
Net Income (Adjusted)	3,703	4,097	4,395	5,187	5,704
Average Fully Diluted Shares Outstanding	1,407	1,358	1,331	1,331	1,331

Key Cash Flow Statement Data

Net Income	3,703	4,097	4,395	5,187	5,704
Depreciation & Amortization	1,235	1,554	1,516	1,609	1,703
Change in Working Capital	(1,233)	(1,984)	1,668	(3,423)	2,025
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	(343)	298	122	100	100
Cash Flow from Operations	3,361	3,965	7,702	3,473	9,533
Capital Expenditure	(3,451)	(4,010)	(1,200)	(1,200)	(1,200)
(Acquisition) / Disposal of Investments	220	(2,512)	0	0	0
Other Cash Inflow / (Outflow)	31	1	0	0	0
Cash Flow from Investing	(3,200)	(6,520)	(1,200)	(1,200)	(1,200)
Shares Issue / (Repurchase)	4,543	65	0	0	0
Cost of Dividends Paid	(1,192)	(2,030)	(1,490)	(1,632)	(1,926)
Cash Flow from Financing	456	(703)	(1,490)	(1,632)	(1,926)
Free Cash Flow	(89)	(45)	6,502	2,273	8,333
Net Debt	(9,641)	(5,443)	(10,454)	(11,095)	(17,502)
Change in Net Debt	(1,231)	3,508	(5,011)	(641)	(6,407)

Key Balance Sheet Data

Property, Plant & Equipment	10,964	14,931	14,892	14,773	14,574
Other Non-Current Assets	7,405	15,313	15,029	14,779	14,515
Trade Receivables	14,837	17,552	17,097	21,479	20,209
Cash & Equivalents	10,652	6,714	11,725	12,366	18,773
Other Current Assets	20,944	17,575	16,341	19,465	17,833
Total Assets	64,802	72,084	75,084	82,861	85,904
Long-Term Debt	62	49	49	49	49
Other Non-Current Liabilities	1,248	1,560	1,560	1,560	1,560
Short-Term Debt	949	1,222	1,222	1,222	1,222
Other Current Liabilities	17,781	23,328	23,308	27,390	26,515
Total Liabilities	20,040	26,159	26,139	30,222	29,347
Total Equity	44,762	45,925	48,945	52,640	56,558
Total Equity & Liabilities	64,802	72,084	75,084	82,861	85,904

iQmethodSM - Bus Performance*

Return On Capital Employed	7.8%	9.0%	9.1%	9.8%	10.1%
Return On Equity	9.4%	9.8%	10.0%	11.0%	11.2%
Operating Margin	14.1%	15.9%	15.6%	16.3%	16.6%
EBITDA Margin	19.1%	21.4%	20.4%	20.9%	21.1%

iQmethodSM - Quality of Earnings*

Cash Realization Ratio	0.9x	1.0x	1.8x	0.7x	1.7x
Asset Replacement Ratio	2.8x	2.6x	0.8x	0.7x	0.7x
Tax Rate (Reported)	8.5%	11.6%	12.1%	13.0%	13.0%
Net Debt-to-Equity Ratio	-21.5%	-11.9%	-21.4%	-21.1%	-30.9%
Interest Cover	25.3x	NM	36.4x	48.3x	NM

Valuation (A-share)

P/E	18.66x	16.28x	14.87x	12.60x	11.46x
Dividend Yield	2.04%	2.28%	2.50%	2.95%	3.24%
EV / EBITDA*	13.52x	10.48x	9.93x	8.73x	8.00x
Free Cash Flow Yield*	-0.129%	-0.065%	9.35%	3.27%	11.98%

* For full definitions of iQmethodSM measures, see page 7.

Company Sector

Rail Equipment

Company Description

Zhuzhou CRRC Times Electric is one of the leading rail equipment suppliers in China. Products mainly include rail transit electrical equipment, railway engineering machinery and railway signal equipment. The company has also expanded its business to emerging equipment to seize new growth opportunities such as power semiconductor devices, sensor devices, NEV drive systems, industrial converters and marine equipment.

Investment Rationale

We have a Neutral rating for Times Electric, as we see near-term profitability pressure of its emerging equipment businesses, while see long-term opportunities from railway aftermarket and its market-share gain in emerging equipment.

Key Changes (A-sh)

(CNY)	Previous	Current
Price Obj.	59.00	56.00
2026E EPS	3.40	3.30
2027E EPS	3.96	3.90
2028E EPS	4.33	4.29



Earnings review and revisions

Exhibit 1: 2Q26 results comparison

2Q26 revenue/earnings up 4%/3% YoY

RMB mn	2Q26 (A)	2Q26 (F)	Diff (%)	YoY	QoQ	1Q26	4Q25	3Q25	2Q25	1Q25	4Q24	3Q24	2Q24	1Q24
Revenue	7,969	8,368	-4.8%	3.8%	56.2%	5,102	9,873	6,616	7,677	4,537	8,515	6,038	6,404	3,951
COGS	5,380	5,747	-6.4%	1.7%	58.1%	3,402	6,382	4,421	5,287	3,017	5,226	4,096	4,717	2,779
Gross profit	2,589	2,621	-1.2%	8.3%	52.4%	1,699	3,491	2,195	2,390	1,520	3,290	1,941	1,687	1,172
Operating exp	1,243	1,190	4.4%	9.3%	26.4%	983	1,938	1,070	1,137	875	1,900	1,007	917	752
Operating income	1,346	1,430	-5.9%	7.4%	88.0%	716	1,553	1,125	1,253	645	1,390	935	771	420
Investment income	-2	-2	-31.5%	-89.3%	-31.5%	-2	-17	23	-15	2	10	1	9	8
Pretax Income	1,277	1,468	-13.0%	-2.0%	64.2%	778	1,601	1,185	1,303	785	1,483	1,151	1,070	612
Net Income	1,095	1,291	-15.2%	-0.1%	62.9%	672	1,422	1,103	1,096	688	1,328	1,046	1,008	567
Net Income attribute to shareholder	1,069	1,236	-13.5%	2.8%	66.2%	643	1,376	1,049	1,040	631	1,248	974	924	557
EPS	0.80	0.91	-11.7%	4.9%	66.2%	0.48	1.01	0.77	0.77	0.46	0.89	0.69	0.66	0.40
GM	32.5%	31.3%				33.3%	35.4%	33.2%	31.1%	33.5%	38.6%	32.2%	26.3%	29.7%
Op. margin	16.9%	17.1%				14.0%	15.7%	17.0%	16.3%	14.2%	16.3%	15.5%	12.0%	10.6%
NM	13.7%	15.4%				13.2%	14.4%	16.7%	14.3%	15.2%	15.6%	17.3%	15.7%	14.3%
OPEX to sales	15.6%	14.2%				19.3%	19.6%	16.2%	14.8%	19.3%	22.3%	16.7%	14.3%	19.0%

Source: BofA Global Research estimates, company report

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Exhibit 2: New versus old estimates

Cut our 2026/27/28E earnings by 5%/4%/3%

RMB mn	2026F			2027F			2028F		
	Old	New	diff. (%)	Old	New	diff. (%)	Old	New	diff. (%)
Revenue	31,892	31,617	-0.9%	35,306	35,200	-0.3%	38,412	38,040	-1.0%
Rail Transit Equipment	17,149	16,991	-0.9%	18,183	18,271	0.5%	18,977	19,013	0.2%
Emerging Equipment	14,603	14,500	-0.7%	16,969	16,789	-1.1%	19,267	18,874	-2.0%
Others	139	126	-9.4%	153	139	-9.4%	169	153	-9.4%
Gross Profit	10,561	10,527	-0.3%	11,769	11,647	-1.0%	12,758	12,542	-1.7%
Operating Profit	5,122	4,947	-3.4%	5,968	5,748	-3.7%	6,509	6,326	-2.8%
Investment income	-9	-7	-23.7%	40	40	0.0%	40	40	0.0%
Pretax income	5,411	5,131	-5.2%	6,338	6,122	-3.4%	6,905	6,715	-2.7%
Net Income	4,795	4,510	-5.9%	5,561	5,327	-4.2%	6,058	5,844	-3.5%
Net Income attribute to shareholder	4,611	4,395	-4.7%	5,376	5,187	-3.5%	5,873	5,704	-2.9%
EPS	3.40	3.30	-2.7%	3.96	3.90	-1.5%	4.33	4.29	-0.9%
Key ratios (%)									
Sales growth	11.1%	10.2%		10.7%	11.3%		8.8%	8.1%	
EPS growth	12.6%	9.5%		16.6%	18.0%		9.3%	10.0%	
Gross margin	33.1%	33.3%		33.3%	33.1%		33.2%	33.0%	
Operating margin	16.1%	15.6%		16.9%	16.3%		16.9%	16.6%	
Net margin	15.0%	14.3%		15.7%	15.1%		15.8%	15.4%	

Source: BofA Global Research estimates

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Exhibit 3: Quarterly P&L summary

We expect 7% YoY earnings growth in 2026

(RMB mn)	1Q25	2Q25	3Q25	4Q25	FY '25	1Q26	2Q26	3Q26	4Q26	FYE '26
Revenue	4,537	7,677	6,616	9,873	28,703	5,102	7,969	7,592	10,954	31,617
Op taxes and surcharges	34	63	33	65	195	26	49	38	72	185
Promotion	109	120	123	235	587	123	139	137	252	651
G&A	210	263	250	505	1,227	248	290	289	548	1,374
R&D	523	691	663	1,133	3,011	587	764	759	1,260	3,370
Operating expenses	875	1,137	1,070	1,938	5,020	983	1,243	1,223	2,131	5,580
Operating income	645	1,253	1,125	1,553	4,575	716	1,346	1,260	1,625	4,947
Investment income	2	-15	23	-17	-7	-2	-2	-2	-2	-7
Pretax income	785	1,303	1,185	1,601	4,874	778	1,277	1,338	1,738	5,131
Taxes or tax credit	96	208	82	179	565	105	182	134	200	621
Profit before minority	688	1,096	1,103	1,422	4,309	672	1,095	1,204	1,538	4,510
Minority interest	57	55	54	46	213	29	26	30	30	115
Net income	631	1,040	1,049	1,376	4,097	643	1,069	1,174	1,508	4,395
EPS (RMB)	0.46	0.77	0.77	1.01	3.02	0.48	0.80	0.88	1.13	3.30
Number of shares (mn)	1,358	1,358	1,358	1,358	1,358	1,331	1,331	1,331	1,331	1,331
Operating Ratios										
Promotion	2.4%	1.6%	1.9%	2.4%	2.0%	2.4%	1.7%	1.8%	2.3%	2.1%
G&A	4.6%	3.4%	3.8%	5.1%	4.3%	4.9%	3.6%	3.8%	5.0%	4.3%
R&D	11.5%	9.0%	10.0%	11.5%	10.5%	11.5%	9.6%	10.0%	11.5%	10.7%
Operating margin	14.2%	16.3%	17.0%	15.7%	15.9%	14.0%	16.9%	16.6%	14.8%	15.6%
Pre-tax margin	17.3%	17.0%	17.9%	16.2%	17.0%	15.2%	16.0%	17.6%	15.9%	16.2%
Tax rate	12.2%	15.9%	6.9%	11.2%	11.6%	13.5%	14.2%	10.0%	11.5%	12.1%
Net margin	15.2%	14.3%	16.7%	14.4%	15.0%	13.2%	13.7%	15.9%	14.0%	14.3%
YoY %										
Net revenues	14.8%	19.9%	9.6%	15.9%	15.2%	12.5%	3.8%	14.8%	11.0%	10.2%
Operating income	53.6%	62.6%	20.4%	11.7%	30.2%	11.1%	7.4%	12.0%	4.7%	8.1%
Net income	13.4%	12.6%	7.7%	10.2%	10.6%	1.9%	2.8%	12.0%	9.6%	7.3%
EPS	17.5%	16.7%	11.6%	14.2%	14.6%	4.0%	4.9%	14.3%	11.9%	9.5%
QoQ %										
Net revenues	-46.7%	69.2%	-13.8%	49.2%		-48.3%	56.2%	-4.7%	44.3%	
Operating income	-53.6%	94.3%	-10.2%	38.0%		-53.9%	88.0%	-6.4%	29.0%	
Net income	-49.4%	64.8%	0.8%	31.2%		-53.2%	66.2%	9.9%	28.4%	
EPS	-47.6%	64.8%	0.8%	31.2%		-52.3%	66.2%	9.9%	28.4%	

Source: BofA Global Research estimates, company report

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Valuation

We derive our HKD43 PO (was HKD44) for Times Electric-H using the SOTP method. We apply 9x (was 10x) average 2026-27E P/E for its rail equipment business and 16x (was 18x) average 2026-27E P/E for its emerging equipment business. We lowered our target multiples for rail equipment and emerging equipment, as we see normalizing growth for both businesses over the long run. Our RMB56 PO (was RMB59) for Times Electric-A is based on a 50% A-H premium, unchanged and largely in line with the current level.

Exhibit 4: Times Electric's SOTP valuation

Our valuation is based on 9x/16x P/E for its rail equipment/emerging equipment business

	Rail Transit Equipment	Emerging Equipment & Others	Total
Average 2026/27E EPS (RMB)	2.94	0.66	3.60
Average 2026/27E P/E (x)	9.0	16.0	
HKD/RMB exchange rate (RMB/HKS)	0.87	0.87	
Value per share for H-share (HK\$, rounded)	30.5	12.1	43.0
A share premium/(discount) to H share			50%
HKD/RMB exchange rate (RMB/HKS)			0.87
Value per share for A-share (RMB, rounded)			56.0

Source: BofA Global Research estimates

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Price objective basis & risk

Zhuzhou CRRC Times Electric (ZHUZF)

We derive our PO of HK\$43 for Times Electric-H based on SOTP method. We apply 9x average 2026-27E P/E for its rail equipment business, largely in line with the average of its H-share peers. We apply 16x average 2026-27E P/E for its emerging equipment business, in line with its peer company average.

Risks: (1) weaker railway fixed asset investment (FAI) and China National Railway Group's (CNRG) rolling stock procurement, (2) slower-than-expected development of urban rail transit due to insufficient financial resources, (3) downturn of EV/renewable energy markets leading to softer demand of power semi, (4) intensifying competition from other domestic companies, (5) delay of its capacity addition or unsatisfactory yield rate, and (6) lower-than-expected GPM during its capacity ramping-up period.

Zhuzhou CRRC Times Electric (XWCTF)

Our A-share PO at RMB56 is derived based on a 50% A-H premium, largely in line with its current level.

Risks: (1) weaker railway fixed asset investment (FAI) and China National Railway Group's (CNRG) rolling stock procurement, (2) slower-than-expected development of urban rail transit due to insufficient financial resources, (3) downturn of EV/renewable energy markets leading to softer demand of power semi, (4) intensifying competition from other domestic players, (5) delay in its capacity addition or unsatisfactory yield rate, and (6) lower-than-expected GPM during its capacity ramping-up period.

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Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Aboitiz Equity Ventures, Inc.	ABOIF	AEV PM	Julian Roxas
	AirTAC	ATCXF	1590 TT	Ming Hsun Lee, CFA
	Anhui Heli	AHUHF	600761 CH	Summer Wang, CFA
	Anhui Yingliu	XANHf	603308 CH	Fiona Liang
	Ayala Corporation	AYYLF	AC PM	Russ Toribio
	Centre Testing International	XCTEF	300012 CH	Yikai Liu, CFA
	Daifuku	DAIUF	6383 JP	Kenjin Hotta
	Daikin Industries	DKILF	6367 JP	Kenjin Hotta
	Daikin Industries	DKILY	DKILY US	Kenjin Hotta
	Envicool	XPTIF	002837 CH	Yibing Xia
	GeekPlus	BGTCF	2590 HK	Summer Wang, CFA
	Goldwind	XJNGF	2208 HK	Gary Tsang
	GTAP	GTHOF	GTAP PM	Russ Toribio
	Guangdong Songfa	XDZGF	603268 CH	Amy Han
	Hainan Jinpan	XKZNF	688676 CH	Matty Zhao
	Hangcha Group	XXCLF	603298 CH	Summer Wang, CFA
	Hangzhou Great Star	XNZLF	002444 CH	Fiona Liang
	Hankuk Carbon	HKUCF	017960 KS	KJ Hwang
	Han's Laser	XHQTF	002008 CH	Summer Wang, CFA
	Hanwha Aerospace	SSASF	012450 KS	KJ Hwang
	HD Hyundai Electric	XPELF	267260 KS	Sun Jung Lee
	HD Hyundai Heavy Industries	XHZXF	329180 KS	KJ Hwang
	Himile	XMSVF	002595 CH	Fiona Liang
	Hiwin Technologies	HITF	2049 TT	Ming Hsun Lee, CFA



APR - Industrials Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Huaming Equipment	XKTIF	002270 CH	Matty Zhao
	IHI	IHICF	7013 JP	Kenjin Hotta
	Inovance Technology	XMYRF	300124 CH	Ming Hsun Lee, CFA
	Jiangsu Hengli Hydraulic Co., Ltd	XHDCF	601100 CH	Ming Hsun Lee, CFA
	Kawasaki Heavy Industries	KWHIF	7012 JP	Kenjin Hotta
	Keyence	KYCCF	6861 JP	Kenjin Hotta
	Korea Aerospace	XAQHF	047810 KS	KJ Hwang
	LIG Defense & Aerospace	XLQUF	079550 KS	KJ Hwang
	LS Electric	LGXSF	010120 KS	Sun Jung Lee
	Makita	MKEWF	6586 JP	Kenjin Hotta
	Mingyang Smart Energy	XLARF	601615 CH	Charlotte Xia
	Mitsubishi Heavy Industries	MHVYF	7011 JP	Kenjin Hotta
	Mitsui E&S	MIESF	7003 JP	Yuri Nishizaki
	MNC Solution	XZXRF	484870 KS	Dongho Shin
	Nabtesco	NCTKF	6268 JP	Kenjin Hotta
	Namura Shipbuilding	NMRSF	7014 JP	Yuri Nishizaki
	NARI Technology	XLODF	600406 CH	Matty Zhao
	OMRON Corporation	OMRNF	6645 JP	Kenjin Hotta
	OMRON Corporation	OMRNY	OMRNY US	Kenjin Hotta
	Samsung Heavy Industries	SMSHF	010140 KS	KJ Hwang
	Sany Heavy Industry Co., Ltd	SHVYF	600031 CH	Ming Hsun Lee, CFA
	Sany Heavy Industry Co., Ltd	XHEVF	6031 HK	Ming Hsun Lee, CFA
	Sany International	SNYYF	631 HK	Summer Wang, CFA
	SATS Limited	SPASF	SATS SP	Nathan Gee, CFA
	Shenling	XSRLF	301018 CH	Yibing Xia
	Shenzhen Megmeet	XMMLF	002851 CH	Yikai Liu, CFA
	Sieyuan Electric	XUJKF	002028 CH	Matty Zhao
	Sinexcel	XSBEF	300693 CH	Summer Wang, CFA
	Sinotruk Hong Kong Ltd	SHKLF	3808 HK	Fiona Liang
	SM Investments Corporation	SVTMF	SM PM	Russ Toribio
	SMC	SMECF	6273 JP	Kenjin Hotta
	SMC	SMCAY	SMCAY US	Kenjin Hotta
	ST Engineering	SGGKF	STE SP	Jessie Lo
	Suzhou Maxwell Technologies	XSMTF	300751 CH	Gary Tsang
	TGOOD	XQGDF	300001 CH	Yikai Liu, CFA
	THK	THKLF	6481 JP	Kenjin Hotta
	UBTECH	UBTRF	9880 HK	Ming Hsun Lee, CFA
	Weichai Power Co. Ltd	WEICF	2338 HK	Fiona Liang
	Weichai Power Co. Ltd	XWPEF	000338 CH	Fiona Liang
	XCMG Construction Machinery Co Ltd	XVPZF	000425 CH	Ming Hsun Lee, CFA
	XJ Electric	XJECF	000400 CH	Matty Zhao
	Yangzijiang Shipbuilding	YSHLF	YZJSGD SP	Amy Han
	Yaskawa Electric	YASKF	6506 JP	Kenjin Hotta
	Yuchai International	CYD	CYD US	Fiona Liang
	Zhejiang Supcon Technology	XDXFF	688777 CH	Yikai Liu, CFA
	Zoomlion Heavy Industry	XLRVF	000157 CH	Ming Hsun Lee, CFA
	Zoomlion Heavy Industry	ZLIOF	1157 HK	Ming Hsun Lee, CFA
NEUTRAL				
	D&L Industries, Inc.	DALQF	DNL PM	Philip Albert Felix
	Dongguan Yiheda Automation	XDXXF	301029 CH	Yikai Liu, CFA
	Fanuc	FANUF	6954 JP	Kenjin Hotta
	Fanuc	FANUY	FANUY US	Kenjin Hotta
	Kubota Corp	KUBTF	6326 JP	Kenjin Hotta
	Kubota Corp	KUBTY	KUBTY US	Kenjin Hotta
	Neway Valve	XNNVF	603699 CH	Summer Wang, CFA
	Zhuzhou CRRC Times Electric	ZHUZF	3898 HK	Yikai Liu, CFA
	Zhuzhou CRRC Times Electric	XWCTF	688187 CH	Yikai Liu, CFA
UNDERPERFORM				
	Alliance Global Group, Inc.	ALGGF	AGI PM	Russ Toribio
	CKD	CKDOF	6407 JP	Kenjin Hotta
	ESTUN Automation	XNJNF	002747 CH	Ming Hsun Lee, CFA
	ESTUN Automation	XZMTF	2715 HK	Ming Hsun Lee, CFA
	Goldwind	XJGWF	002202 CH	Gary Tsang
	Hitachi CM	HTCMF	6305 JP	Kenjin Hotta



APR - Industrials Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Hongfa Technology	XQXAF	600885 CH	Fiona Liang
	Komatsu	KMTUF	6301 JP	Kenjin Hotta
	Komatsu	KMTUY	KMTUY US	Kenjin Hotta
	L.K. Technology	XBQXF	558 HK	Joey Yang, CFA
	Leader Harmonious Drive Systems	XLHNF	688017 CH	Yikai Liu, CFA
	LT Group, Inc.	LTGIF	LTG PM	Philip Albert Felix
	OPT Machine Vision	XOTVF	688686 CH	Yikai Liu, CFA
	SCG Packaging PCL	XAFLF	SCGP TB	Komsun Suksumrun
	Shanghai Bochu Electronic	XWUTF	688188 CH	Fiona Liang
	Shenzhen SC New Energy	XENYF	300724 CH	Yikai Liu, CFA
	SK Bend	SUKWF	014620 KS	KJ Hwang

iQmethodSM Measures Definitions

Business Performance

Return On Capital Employed

Return On Equity

Operating Margin

Earnings Growth

Free Cash Flow

Quality of Earnings

Cash Realization Ratio

Asset Replacement Ratio

Tax Rate

Net Debt-To-Equity Ratio

Interest Cover

Valuation Toolkit

Price / Earnings Ratio

Price / Book Value

Dividend Yield

Free Cash Flow Yield

Enterprise Value / Sales

EV / EBITDA

Numerator

NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization

Net Income

Operating Profit

Expected 5 Year CAGR From Latest Actual

Cash Flow From Operations – Total Capex

Numerator

Cash Flow From Operations

Capex

Tax Charge

Net Debt = Total Debt – Cash & Equivalents

EBIT

Numerator

Current Share Price

Current Share Price

Annualised Declared Cash Dividend

Cash Flow From Operations – Total Capex

EV = Current Share Price × Current Shares + Minority Equity + Net Debt +

Other LT Liabilities

Enterprise Value

Denominator

Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill
Amortization

Shareholders' Equity

Sales

N/A

N/A

Denominator

Net Income

Depreciation

Pre-Tax Income

Total Equity

Interest Expense

Denominator

Diluted Earnings Per Share (Basis As Specified)

Shareholders' Equity / Current Basic Shares

Current Share Price

Market Cap = Current Share Price × Current Basic Shares

Sales

Basic EBIT + Depreciation + Amortization

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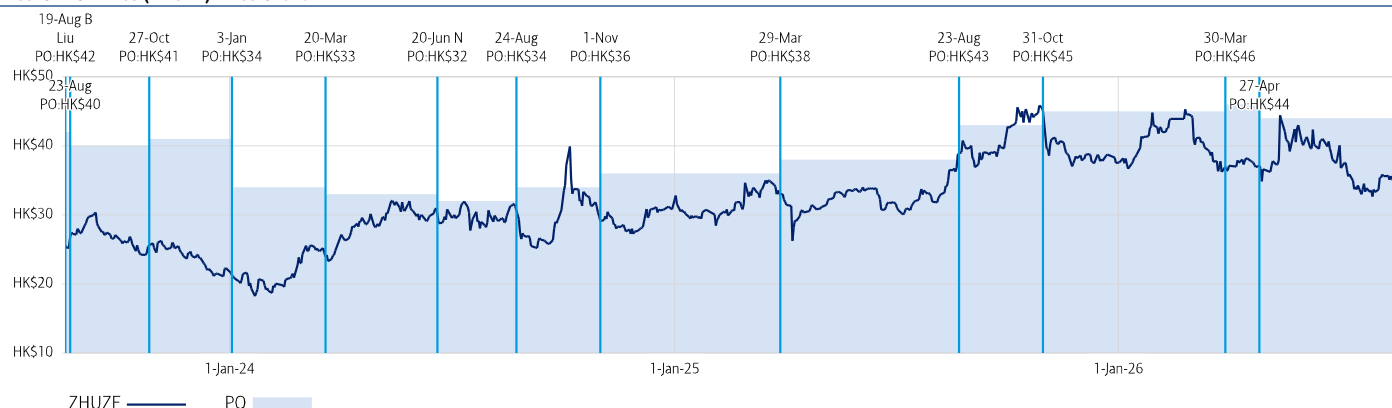
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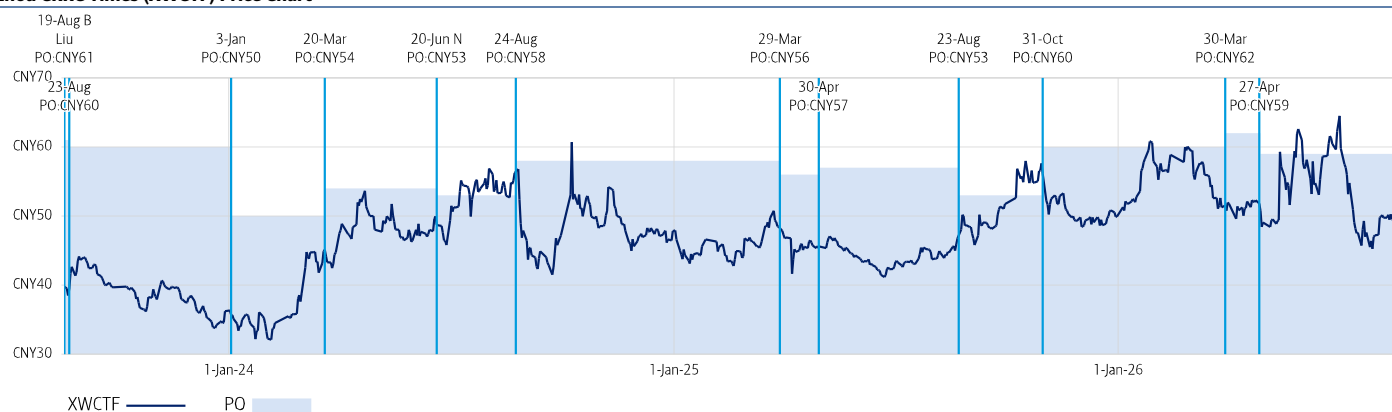
Zhuzhou CRRC Times (ZHUZF) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Zhuzhou CRRC Times (XWCTF) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Equity Investment Rating Distribution: Electrical Equipment Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	18	66.67%	Buy	10	55.56%
Hold	3	11.11%	Hold	2	66.67%
Sell	6	22.22%	Sell	1	16.67%

Equity Investment Rating Distribution: Industrials/Multi-Industry Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	68	62.39%	Buy	36	52.94%
Hold	15	13.76%	Hold	7	46.67%
Sell	26	23.85%	Sell	12	46.15%

Equity Investment Rating Distribution: Machinery/Diversified Manufacturing Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	39	59.09%	Buy	18	46.15%
Hold	12	18.18%	Hold	9	75.00%
Sell	15	22.73%	Sell	9	60.00%



Equity Investment Rating Distribution: Transport/Infrastructure Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	74	52.48%	Buy	44	59.46%
Hold	37	26.24%	Hold	19	51.35%
Sell	30	21.28%	Sell	13	43.33%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

^{R2} Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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